Contractual Inducement

English contract law | Misrepresentation | Awareness, reliance and proof

A seller gives a false figure before a sale. Did it actually influence the buyer's decision to sign? This guide isolates inducement, the causal link between an actionable misrepresentation and entry into the contract.

1. Identify the representation and its timing

State exactly what was conveyed, who conveyed it and when the recipient encountered it. The representation may be express or implied by conduct. An uncommunicated statement cannot influence the recipient, and a statement first received after signature cannot explain the earlier decision to sign. Identify the particular transaction or decision being challenged.

2. Separate materiality from actual influence

A representation is material if it is of a kind likely to influence the decision to contract. Actual inducement concerns what influenced this recipient. Materiality may support an inference of reliance, especially in cases of fraud. The court can draw a different conclusion if the evidence shows that the representation played no part.

3. Allow for more than one reason

The statement must have genuinely influenced the decision. Price, convenience and other commercial reasons can operate alongside it. In *Edgington v Fitzmaurice*, a false statement about how borrowed funds would be used could induce an investment even though the investor also acted under a separate mistaken belief about the security.

4. Distinguish doubt from disregard

A recipient may act under the influence of a statement they doubt. In *Hayward v Zurich*, the insurer suspected exaggeration but was influenced by the risk that the exaggerated injury claim would be accepted at trial. The Supreme Court treated belief in the truth of the statement as relevant evidence, without requiring it as a separate element of fraudulent inducement.

> Legal English | **To induce someone to enter into a contract** focuses on the effect of the statement. **To rely on a representation** focuses on how the recipient acted in response to it.

Reliance and Independent Checks

Horsfall v Thomas (1862) | Was the conduct perceived?

A manufacturer supplied a defective steel gun. The buyer accepted it without inspecting it. When sued on the bills of exchange, the buyer alleged that the defect had been concealed. Even assuming that the alleged concealment could convey a misleading impression on inspection, it could not have influenced this buyer's acceptance. The example concerns a buyer who did not encounter the alleged misleading conduct in a way that affected his decision.

Attwood v Small (1838) | What did the buyer rely on?

In a sale involving mines and ironworks, the seller made claims about the property's capabilities. The purchasers commissioned their own examination. Their agents reported that the claims were correct. The House of Lords refused rescission for fraud. The case illustrates how reliance on the buyer's own investigation can displace reliance on the seller's statements. Whether it does so turns on what actually drove the buyer's decision.

Redgrave v Hurd (1881) | Was there only an opportunity to check?

A solicitor overstated his practice's income. The prospective buyer could have examined papers to check the figures. That opportunity did not defeat reliance on the solicitor's statement. An opportunity left unused, a report that merely repeats the seller's figures and a genuinely independent assessment can carry very different weight.

What evidence would you look for?

Compare the seller's statements, the expert's instructions and methodology, and the buyer's emails or approval minutes. Ask what the buyer did with each source before committing. A report that repeats a number may reinforce the seller's statement. Even an independent report may coexist with actual reliance on what the seller said.

> A useful exam sentence | The report supported the buyer's decision, and the evidence also shows that the buyer relied on the seller's statement.

Worked Problem and Authorities

The packaging line

Before signing, Delta reads the seller's email stating that a used packaging line has achieved 600 units per hour in a factory test. The test actually recorded 420. A consultant repeats the seller's figure without running a test. Delta's approval email refers to the factory-test figure and to the price. Assume the other elements of misrepresentation are satisfied. Is inducement likely?

Model analysis

Delta saw the statement before signing. The throughput of a production line is commercially significant, and the approval email links that figure to the purchase. The price can also have influenced the decision.

An email showing that Delta opened the message would establish awareness, but tell us little about how the figure affected the decision. Delta's approval email is stronger evidence because it connects the figure to the decision itself.

The consultant simply repeated the seller's figure. The evidence therefore supports continuing reliance on the original statement. If inducement is established, consider the requirements for rescission or damages separately, including section 2 of the Misrepresentation Act 1967 where applicable.

> Variation | Suppose the consultant independently measures 600 units per hour under different conditions and Delta's minutes show it relied exclusively on that measurement. Reliance on the seller's claim about the earlier test would then be unlikely. The key change is the basis on which Delta signed.

Cases and legislation

Horsfall v Thomas (1862) 1 H & C 90 | Awareness
Attwood v Small (1838) 6 Cl & F 232 | Independent checks
Redgrave v Hurd (1881) 20 Ch D 1 | Opportunity to verify
Edgington v Fitzmaurice (1885) 29 Ch D 459 | Multiple causes
Hayward v Zurich Insurance Co plc [2016] UKSC 48 | Doubt and actual influence
Misrepresentation Act 1967 s 2 | Damages